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[joe4942](#)

## Is passive investing causing a massive bubble?

## Discussion

With the current performance gap between the magnificent 7 and the rest of the market, I've been reading about passive investing and the problems that this investment strategy might be creating for the broader market.

Michael Burry has long been a critic of passive investing:

<https://www.cnbc.com/2019/09/04/the-big-shorts-michael-burry-says-he-has-found-the-next-market-bubble.html>

Passive investments such as index funds and exchange-traded funds are inflating stock and bond prices in a similar way that collateralized debt obligations did for subprime mortgages more than 10 years ago, Burry told Bloomberg News in an email. When the massive inflows into passive vehicles reverse, "it will be ugly," he said.

"Trillions of dollars in assets globally are indexed to these stocks," Burry said. "The theater keeps getting more crowded, but the exit door is the same as it always was. All this gets worse as you get into even less liquid equity and bond markets globally."

This article discusses some more issues on passive investing in relation to an academic paper (linked at the end) that Burry has mentioned before:

<https://www.chicagobooth.edu/review/why-are-financial-markets-so-volatile>

The conventional wisdom, embodied in the efficient-market hypothesis, holds that market prices reflect the fundamental value of the underlying asset. But increasingly, research is identifying another force as being important: investor demand that may or may not be informed.

At the heart of their argument is a new description of the stock market, which has been transformed over the past few decades by the rise of index funds and other large, slow-moving investors.

In the inelastic markets hypothesis, money that flows into the stock market leads to stronger price effects because there are essentially a set number of available shares, and many of those are not being actively traded. Pairing their theory with an empirical analysis, the researchers estimate that every \$1 put into the market pushes up aggregate prices by \$5.

The inelastic markets hypothesis raises questions, one of which is: If flows have a larger impact on prices than standard theories allow, how many of those flows are still made on the basis of fundamentals?

All this to say, passive investing might be causing some issues in the market that are not necessarily good, especially for those that try to invest based on fundamentals. With the current valuations and size of the magnificent 7, future returns could end up being much lower than the indices have historically been known for. Small caps and value stocks are at risk of being ignored due to their low weightings in funds and less capital being devoted to active investing compared to passive flows. As passive investing continues to grow, fund flows will go to overvalued companies not based on fundamentals, but because of large market cap weightings.

Additional reading:

- [https://papers.ssrn.com/sol3/papers.cfm?abstract\\_id=3686935](https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3686935)
- <https://www.bnnbloomberg.ca/wall-street-rebels-warn-of-disastrous-11-trillion-index-boom-1.1624490>
- <https://www.cnbc.com/2018/12/17/gundlach-says-passive-investing-has-reached-mania-status.html>
- <https://www.bnnbloomberg.ca/peter-lynch-says-all-in-on-passive-investing-is-all-wrong-1.1692110>

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 [La-vds](#) • 1y ago •

I had a few courses in finance when I was at the University. The issue of the efficient market hypothesis and index funds was something my lecturer had done research on. His finding was in line with others, that you don't need many active and informed investors to make the market efficient.

If the passive investing leads to inefficient markets why are not the informed and active investors making a ton of money on the undervalued assets then ?

 157 

 [Training\\_Exit\\_5849](#) • 1y ago •

But they do, that's how renaissance technology operates. Simons literally said that his firm operates on the basis that the market is not efficient. The only thing is that it takes a biblical amount of data and 99.99 PR mathematicians to capitalize on it that the general public can basically just assume it's "efficient"

 37 

 [joe4942](#) **OP** • 1y ago •

Renaissance has issues with scale. Their performance deteriorates when the Medallion fund becomes too large.

"Simons realized that Medallion would never work if it was too large, and he returned profits every year to keep the size around \$10 billion"

<https://www.bnnbloomberg.ca/jim-simons-makes-billions-while-renaissance-investors-fume-at-losses-1.1561886>

 24 

 [Training\\_Exit\\_5849](#) • 1y ago •

Yes because they're capitalizing on the inefficiency so the bigger they become the more efficient the market becomes and there's less inefficiencies to take advantage of.

 28 

 [Not\\_FinancialAdvice](#) • 1y ago •

It's also worthy to note that it's really only Medallion which has had gangbusters performance. Their other funds haven't done quite so well.

Ex: <https://www.bloomberg.com/news/articles/2021-02-08/renaissance-clients-pull-out-after-firm-s-rotten-run-of-results>

9 

 2 more replies

 1 more reply

 [enricopallazo22](#) • 1y ago •

The inefficiencies that medallion takes advantage of are probably not related to passive index funds investing. But the weighing thing does make a lot of sense. I think fundamental analysis is becoming less and less useful.

5 

 1 more reply

 [joe4942](#) **OP** • 1y ago •

The inelastic market hypothesis is increasingly gaining traction in academic finance and is a relatively new concept.

why are not the informed and active investors making a ton of money on the undervalued assets then

There is only so much capital available and more people are choosing to invest passively instead of actively. Large active firms cannot focus exclusively on small caps because they are high risk and lack liquidity. Individual investors can invest in small caps, but without institutional interest, those stocks are not going to move. As these areas have also been underperforming, the incentive for institutions is to chase returns in big tech even if the valuations make no sense because missing out would mean career risk for fund managers. However, it's unclear whether big tech can continue to grow at the same rate going forward.

 15 

 [La-vds](#) • 1y ago •

Maybe I'm misunderstanding. But I feel like you are leaving out the dividend part of the market, stock price movement isn't the only way to get ROI.

If there is a big class of undervalued assets, these assets should over time yield higher than the broad market and you would get your ROI in that manner

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2


 Classic-Economist294 • 1y ago •

Because undervalued assets can stay undervalued for a long time.

Most investors are not investors, but money managers. The actual "principal" usually cannot tolerate underperformance for very long.

25

 La-vds • 1y ago •

Yes they can. But where are the undervalued assets then ? If index funds really were a problem there should be an elite class of investors making money, but as far as I can see there is really no evidence that this is happening. 90% of all trades are still made by active investors whereas passive funds only buy small increments at a time, so the initiative for pricing still lies with the active investors

17

 Classic-Economist294 • 1y ago •

As I said, "active investors" tend to be money managers.

There are very few people who are both principal and agent. I.e. they manage their own money.

Look up the principal agent problem.

13

 madcow\_bg • 1y ago •

Oh those poor billionaires that can't properly align the incentives of their portfolio managers. They would be making TRILLIONS if it were not for those pesky (passive) investors not trading all the time...

4

 La-vds • 1y ago •

As a 90s kid you get extra credit for the sarcasm. I think you sum it up pretty nicely, I just haven't seen any evidence that index funds are hampering the earnings of other investors

7

1 more reply

3 more replies

1 more reply

 mcampbell42 • 1y ago •

P/e firms and family can buy up assets also, if they are so undervalued and take them private . This isn't happening often which implies the assets aren't so significantly undervalued

5

 Classic-Economist294 • 1y ago •

P/E firms usually must pay control premium to buy assets outright. It also depends on the asset. If they need to use LBO, the cost of debt right now is very high due to FED interest rates. LBOs work best during ZIRP.

Family offices must be further segmented. There are family offices who manages their own money and family offices that outsource their money to wealth managers. Only the former will benefit and only if they are good at managing their own money. That is a very small slice of all investable capital.

8

[deleted] • 1y ago •

 many\_dongs • 1y ago •

american equity markets don't function on supply and demand

america's stock market features market makers that disrupt natural price discovery (read: control prices) in the name of liquidity

if you don't believe me, read [https://en.m.wikipedia.org/wiki/Knight\\_Capital\\_Group](https://en.m.wikipedia.org/wiki/Knight_Capital_Group)

basically the market is more or less rigged, it's a big club and you're not in it

3

 newbienewme • 1y ago •

Passive investing makes the seven biggest stock very over-valued, first and foremost.

How can a «savy» investor make money from this insight? Probably by buying the same seven stocks and waiting for more passive money to flow in, thus extending the problem.

5

 BaxBaxPop • 1y ago •

By your theory, but more \$TSLA.

Overvalued, sure. But also massively skewed towards retail, with only 45% of stocks held by funds. When the passive money starts reluctantly flowing into Tesla, it will continue to rise.

3

2 more replies

 Relevant-Rooster-991 • 1y ago •

Honestly I call bullshit on these studies (no disrespect to you, you are just reporting other people's words, which is good for the discussion happening).

I had no doubts that his findings would be in line with others'. Imo a lot of people studying economics are just too dumb, and too many of them are unable to produce any contribution that goes against the general consensus. (Or maybe this is more a consequence of the academic environment of economics rather than their own intelligence).

I have seen a lot of these studies with huge holes, jumping to their already chosen results pretty quickly.

Regarding the question. Good value investors are in fact making a ton of money on the undervalued assets. But how does that change anything? The real question is "why are prices not corrected thanks to the trades of value investors?" and the answer is that they are not enough.

When you have most of the money in the hands of funds and uninformed retail investors, as a value investors you are basically their hostage if you invest in a popular company. That's why value investors like mid/small caps: in those markets there are enough people value investing for the actions of value investors to be "heard by the market".

11

 La-vds • 1y ago •

I'm not really following financial theory closely. But it would be easy to flip the causation of any excess return. What if they manage to make make money due to the fact that they are few then? If the value investing makes excess return it will over time lead to more investors following that strategy

4

2 more replies

 alwaysadbuttruthful • 1y ago •

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2



<https://fintel.io/ss/us/ccypq> < XRT owners state street were managers for his bond that matures 2024, whose spikes pair with XRT swaps on 1/4/21. state street (ssga) were co managers for lehman in the 90's.

<https://law.justia.com/cases/federal/appellate-courts/ca2/18-1079/18-1079-2020-08-11.html> is the docket implicating SSGA as counterparty to lehman, and lehman had a total return setup involving subsidiary 'Lehman Brothers Special Financing', as shown in this article: <https://www.artemis.bm/news/catastrophe-bonds-among-top-performing-assets-since-lehman-bankruptcy/>.

Or you can think its all bullshit and theres no way that burry could see or know anything.

but ofc...DYOR fren.

2

[2 more replies](#)[1 more reply](#)[zachmoe](#) • 1y ago •[5 more replies](#) [Ebisure](#) • 1y ago •

Every stock market has ETFs. But not all stock markets are up. Only US is up by a lot. On 5Y basis, UK is flat, China is down 40%. So it's not the index ETFs.

Also even without the ETFs. 9/10 of the "active investors" out there are closet indexers anyway.

Finally significant sum of money is managed by institutional e.g. pension funds, insurance funds. These are not doing passive investing which is really a retail thing.

Have you considered the fact that tech megacaps are up because tech megacaps are actually taking everyone else's lunch?

115

[joe4942](#) OP • 1y ago •

Every stock market has ETFs. But not all stock markets are up. Only US is up by a lot. On 5Y basis, UK is flat, China is down 40%. So it's not the index ETFs.

The US has the largest market and the big tech stocks benefit from international ownership and internationally diversified fund flows. Many international investors do not invest in their own markets because they historically underperform. And it seems to make sense, why not own the best American companies that have historically outperformed when it works for Americans? Except that only worsens the passive investing bubble. Everyone wants to invest in American stocks. But can the largest tech companies continue delivering outsized returns or do long-term returns begin to drop as the companies become too big and big tech becomes too overvalued?

Finally significant sum of money is managed by institutional e.g. pension funds, insurance funds. These are not doing passive investing which is really a retail thing.

It's actually quite similar to passive investing and institutions have mandates requiring them to be in the market during times of overvaluation and fund managers have career risk for underperformance. The growth of passive investing in addition to this style of fund management is contributing to less liquidity, more volatility when trades occur, and support for overvaluation.

Have you considered the fact that tech megacaps are up because tech megacaps are actually taking everyone else's lunch?

From a value investing perspective, there isn't much justification for the magnificent 7 valuations. No matter what their earnings are, passive investing is buying and institutions with mandates are buying. Several oil companies have earnings that are comparable to big tech companies and their stocks still lag because passive investing flows do not support oil stocks and active investors do not invest in energy companies the way that they used to. Retail investors don't actively invest to the same extent anymore because why try to beat the market when passive investing seems to work? As a result, this is a market increasingly shifting away from fundamentals to passive management that rewards overvaluation but might result in lower long-term returns.

26

[Barkeo](#) • 1y ago •

Oh how I wish I had your skill to say exactly what I'm thinking or feeling. Bang on sir.

How do you assess the following statement as an extension of what you've said:

As passive investing continues to chase the prediction of stable returns, the companies likely to succeed are ones on the fringe of passive investor screens. These companies will comply with the ETF or passive investor screens but have not been defined as such at their start. Without care for fundamentals, these companies can vary between debt cows and good businesses chasing to be included. The race to the top won't be about what you do, but how you define your company to attract these listed and unlisted funds that need to somehow generate volatility in a market trending towards its decrease.

Please be direct in your assessment, I'm trying to understand my thoughts or a trend I think I see.

7

[\[deleted\]](#) • 1y ago •

Sounds like garbage companies are growing just because they are included in indexes such as VTI.

We need better screening protocols to exclude certain failing companies, but that goes against owning the whole market in passive investing.

ETFs like SCHD have certain screening and fundamentals they follow to be included in their ETF which should keep the most solid companies included for us to earn from.

4

[\[deleted\]](#) • 1y ago •[1 more reply](#)[6 more replies](#) [Reddit\\_Talent\\_Coach](#) • 1y ago •

Michael Burry claimed that mRNA vaccines cause lymphoma. The man is an alarmist dumb ass who was right once.

49

[\[deleted\]](#) • 1y ago •

Making a movie about him only inflated his oversized ego.

18

[jeff303](#) • 1y ago •

Any refutations to the specific points he raises here?

10

[martyclarkS](#) • 1y ago • Edited 1y ago •

Here is a comprehensive refutation [part 1](#) & [part 2](#) by Ben Felix. Well worth watching.

11

[jeff303](#) • 1y ago •

Thanks, I'll add it to my list for this week.

4

[1 more reply](#) [rao-blackwell-ized](#) • 1y ago •

Shameless plug since you asked, I specifically refuted his points [here](#).

3

[ProPizzaParty](#) • 1y ago •

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2

 **[deleted]** • 1y ago •

Seriously, redditors are constantly saying people are dumbasses when they make comments that have nothing to do with their actual expertise. Like don't listen to the investor/athlete/politician about health advice. This should be obvious.

2

[2 more replies](#)[2 more replies](#)[11 more replies](#) **manassassinman** • 1y ago •

Assets will continue to stay high until unemployment cracks. Once that happens, people will fear not having cash more than not having assets.

9

 **cotdt** • 1y ago •

This could lead to be a big bubble in the top mega cap companies... but how would this bubble pop? There has to be some sort of mechanism, and I don't see it. Even in bear markets you have millions of workers every month putting their 401k into S&P 500 index funds.

33

 **ezodochi** • 1y ago •

Also, the bubble brings in even more international money. Coming from a country where our main stock index traded in a box for like 15 years, the fact the the S&P 500's graph is constantly on a climb as time goes by in the long term has basically made a lot of investors in my country abandon domestic investing and choose almost entirely to invest in US stocks.

For a lot of places it's hard to even match the annual growth of the S&P 500 so it's just more reasonable for us to put money there instead of our own country's stock market.

19

 **Durumbuzafeju** • 1y ago •

Echoes of the great financial crisis. When all the world's money converges into a single US asset class it tends to destroy it. It happened in 2008 when every Tom Dick and Harry wanted to invest in US mortgages to the point where all this money encouraged insane lending practices.

Might be something similar brewing here. When every other stock market is just Scraping by because investors all pile into the SP500, then this inflow of money will eventually break something. Most likely equity prices are overinflated already, a bubble popping would have similar effects as the GFC by destroying global wealth.

11

 **ezodochi** • 1y ago •

It'll probably never happen considering how many governments have money in the S&P 500 when it comes to social security funds, including the US.

Also, I find it more of a natural development of capitalism. with the globalization of both production and consumption, American companies operate globally and if they always say invest in companies that produce shit you use etc then like globally of course people are gonna look to the American companies like Apple, Google, Meta, Microsoft etc that they use pretty much daily. At the end of the day, most cutting edge tech etc is coming out of American companies. Whether it be chip design, developments in AI, etc etc bc of how concentrated the top tech companies etc are in the US, the S&P 500 kinda just like....you feel stupid betting against it, but also not betting on it from an international perspective lmao.

7

 **GoldenDingleberry** • 1y ago •

Last line: \*revealing global wealth. Who knows how much is unbacked leverage.

5

 **[deleted]** • 1y ago •

Remember though eventually (usually), the market does increase despite hard financial times, and then the capital invested at those high prices could be met again. Maybe it creates a market with low liquidity cause no one is willing to invest after half of their 401k has been wiped out.

3

 **Durumbuzafeju** • 1y ago •

That's true, but if you make it even in fifteen years, that means that half of your investing time horizon is destroyed.

2

 **thenuttyhazlenut** • 1y ago •

Exactly this. I don't see how it could be corrected when everyone just blindly buys the S&P 500 and the top 5-10 companies just because.

But I suppose if one of these top companies under perform over and over again, active / somewhat active investors will notice and pull out, causing it's weight in the index to drop. (Like Facebook and Netflix earlier last year).

With all the passive investing it simply takes more time for value stocks to appreciate. Might have taken 6 months before, now it might take 12-18 months. or more.

6

[1 more reply](#) **joe4942** [OP](#) • 1y ago •

The only way it could really pop is if index investors decided to sell, and to some extent they did during the 2020 COVID crash.

4

[4 more replies](#) **aed38** • 1y ago •

The bubble pops once people stop believing that the "line goes up forever" and put more money in bonds or something else.

The bubble also pops if people need to withdraw from index funds to pay for living expenses, like in a depression.

4

 **[deleted]** • 1y ago •[6 more replies](#) **BertAnsink** • 1y ago •

What about the reverse scenario then. ETF's buy the entire index. Sure it buys up the magnificent-7, but it also funds shit companies that do not necessarily need investing in. So it works both ways. I don't agree that it fuels a bubble in those 7 stocks, but do agree with Burry's theory that passive investing is disturbing efficient price discovery.

When talking about market forces possibly creating a bubble. One thing that was pointed at during the covid pump is US retail speculating with options forcing the market up. For me, the S&P is simply a measure of worldwide liquidity. S&P500 is the most widely traded market so changes in global liquidity will move the market.

You must also understand that every funds manager knows that most gains are to be made in a bubble. So even if you know the market is in a bubble it makes sense to chase it. If you are purely value investing, you can be right on the money when it comes to valuation, but that does mean your vision plays out. Liquidity moves the broader market IMHO.

8

[1 more reply](#) **Neoliberalism2024** • 1y ago •

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2



If it ever gets the point where there's so little active management that active management can beat the index consistently....institutional money will flow back into it, so it's self correcting.

8

 **[deleted]** • 1y ago •

Could that be because the liquidity is disproportionately weighed on the high market cap companies? which leads to the underperformance of Value.

2

 4 more replies

 **McKojjion** • 1y ago •

Feel free to correct this problem by actively investing. Short megacap tech and go long on small cap and value stocks. If you're right, you'll make money. If you're wrong, you'll lose it. This will set new market prices for stocks and weightings for the indices.

37

 **joe-re** • 1y ago •

The problem with betting on structural problems is that, even if you are right, you never know when they manifest. So maybe the S&P500 stocks are overvalued and will be corrected in 20-30 years.

What are you gonna say when you pay premiums on your options for years to go and nothing happens? "I wasn't wrong, just early?" Yeah, well, they're the same thing.

16

 **joe4942 OP** • 1y ago •

Shorting megacap tech in an era of passive investing means competing against constant passive flows that buy every dip even after bad earnings reports because passive investing is not driven by fundamentals. This is why when the rest of the market is near bear market territory or already is, the magnificent 7 is still trading close to the highs. Small cap and value stocks are trading at the same levels as four years ago because passive flows hardly impact those stocks due to low weightings in index funds. And these are problems passive investing is contributing to with implications for active investors.

14

 **whitenoize086** • 1y ago •

Are you saying that because of passive investments the bubble will continue to grow and won't pop, so you are unwilling to short it? Then that is not a bubble it is just a new paradigm of how investing works.

7

 **Relevant-Rooster-991** • 1y ago •

Not knowing when it is going to pop is a different thing from never popping. They just have the same effect on the strategy of an investor.

That's not the way I would describe a bubble anyway. If there are valuations that do not reflect the ability of some securities to generate cash, it is already a bubble: if for any reason the price drops, you have no guarantee that the price will go up again. I don't know when or how it will happen, but it is clear that if people stop using index funds (because there is war, or they don't manage to save money anymore, or whatever reason) those valuations will not stay the same.

5

 **yeahyeahhitmeshhh** • 1y ago •

I don't think that's right.  
Index funds rebalance, meaning they will add momentum to anything in their index that moves relative to it.

They might "buy the dip" when it comes to the S&P500 but will sell a falling stock that is in the S&P500.

If anything I think it creates opportunities for value investors.

4

 **McKojjion** • 1y ago •

If you think there's a bubble and don't want to short, you have a few options:

- Go long on undervalued companies and wait. Once you start trying to time fund flows and the like, you're no longer value investing.
- If you're fine with that and expect this trend to continue, go long on TQQQ and sell before the bubble bursts.
- If you have no special insight on the timing, just passively invest in the index. You'll get the average return with fewer costs. It's perfect for the "know-nothing investor."

Personally, I expect any alpha here to be immediately snatched up by traders who are willing to go short. I think the beta will go to the passive index fund investor. I think anyone trying to time this stuff without some sort of unique insight will pay high fees and underperform the market.

12

 **joe4942 OP** • 1y ago •

Passive investing isn't just causing a bubble. It's also changing how markets have historically worked. The growth in passive investing is pushing investing returns away from fundamentals which has implications for value investing as a strategy. I don't think it's a coincidence that some oil companies are stuck in bear market territory with some of the best fundamentals in years and \$85 oil. The energy sector now accounts for only 4% of the S&P 500 compared to 15% in the 1990 and 2008.

5

 **McKojjion** • 1y ago •

There's a ton of investors on Reddit and beyond who think that megacap tech valuations are divorced from fundamentals. Meanwhile, Warren Buffett, Li Lu, etc. have made companies like Apple and Google their biggest holdings. Value investing isn't about following a heuristic. It's about critical thinking. I think blaming passive investing for a bubble is a way to explain away poor investing decisions as "It's the market that's wrong, not me."

12

 **joe4942 OP** • 1y ago •

It's not to say don't ever buy big tech. It's just that the market now has less breadth and isn't being driven by fundamentals anymore which isn't a great development. Investors have to go where the performance is and if big tech is the only place offering returns, of course major fund managers are going to have to buy.

It is worth noting that plenty of famous active managers have spoken out against passive investing. Peter Lynch, Michael Green and Jeffrey Gundlach are just a few names. Even Elon Musk has spoken out against passive investing.

4

 **NotYourFathersEdits** • 1y ago •

Elon musk speaking out against something solidifies my faith in it.

2

 1 more reply

 1 more reply

 19 more replies

 1 more reply

 1 more reply

 **Wonderful-Macaron-95** • 1y ago •

Don't give a fuck. Still buying. Still not selling.

10

 2 more replies

 **FifaPointsMan** • 1y ago •

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 **NotGoodatApex** • 1y ago •

I mean, high valuations come and go, it's the nature of markets. Only thing you can do about it is to look elsewhere.

Plus, who's to say what is overvalued? Adobe for example is valued at 45 times earnings with 34 times ev/ebit. If this company never missteps, you'll still get the base business returns (high ROIC, ROTE) and the valuation will never fall, and you'll earn money (possibly 15 plus IRR). That's the Chris Mayer method. I wouldn't buy it at this price, but you can't say someone is definitely wrong to buy it at this price either.

9

 1 more reply

 **esp211** • 1y ago •

Are we still following what Burry says?

16

 2 more replies

 **FascinatingGarden** • 1y ago •

I believe that a combination of funds motivated to collect fees and mostly uninvolved, passive investors trusting funds and financial advisors to mind their 401k's has resulted in a large pool of investment money which behaves in an unusual manner.

Such investors have likely heard repeatedly that you need to consistently invest into equities and rather blindly apply "dollar cost averaging", trusting the Market to continue its long-term trend of rising.

No one truly knows 100% that this trend will continue. It may, but then again, things like demographics, inflation, interest rates, and money supply (to name a few) can keep changing the playing field.

It's not unreasonable to suspect that the Market has risen unnaturally over the past couple decades due to increased ability to invest one's retirement savings, increased tendency to do so, and an increased profitability for funds getting people to invest with them and pay not-insignificant fees for doing so. If that's the case, it's also not unreasonable to suspect that a serious correction looms.

Older investors may increasingly move funds from riskier equities and may withdraw for many reasons (medical, late-life experiences, moving money to heirs).

Whatever the cause, a significant enough downturn would probably result in 1) worry, met with assertions that the right thing to do is not to withdraw money, then 2) panic after the Market continues to descend, which then spirals for a while as individual investors pull out like a flock of birds scaring one another into leaving a tree. I don't think that holding physical gold will help in that situation as much as many people today believe it will.

In addition to this possible bubble (possible -- I'm not convinced), the trend of the "Magnificent Seven" stocks propping up indices may be in part a symptom of funds sticking with well-known, successful companies as a defensive move, since they may be criticized less if they happen to lose money on those companies.

8

 **[deleted]** • 1y ago •

 **OkAdministration3139** • 1y ago •

It's cyclical. When mutual funds outperform s&p people will move there, then when s&p outperforms mutual funds people will move there... and so on

4

 **whitenoize086** • 1y ago •

Oh this again

6

 **TimelyPool** • 1y ago •

<https://youtu.be/ltuqXTwWsZ8?si=ehYPoQ684af5mM6d>

3

 **BlondDeutcher** • 1y ago •

I see Michael Burry and it's an auto skip... dude is a one hit wonder who has called 18 of the last 2 recessions

3

 **eichenes** • 1y ago • Edited 1y ago •

When everyone is buying the same index funds with no regard to fundamentals, then when they start selling, the selloff will have no regard to fundamentals either.

This is Ponzi economy at its finest, it will work until it doesn't. Just like any Ponzi, when the inflow stops & the outflow imbalance grows, the Ponzi will come down crashing. Fundamentals used to guarantee there was something to back the stock value, these days, there's nothing to back the bullshit valuations.

10

 **LetoXXI** • 1y ago •

Underrated comment. The value of a stock per definition is either the right to have a say on some company decisions and/or the dividends from income generated. For a lot of the big stocks these two things are in no sane relation to the stock's price for most of the investors.

8

 **eichenes** • 1y ago • Edited 1y ago •

In this current environment, "investors" own nothing but liabilities. No say in the company direction, no dividend (or close to none) & all the power has moved to consolidated ETF managers (ever wonder why BlackRock & Vanguard own everything? That's your money they are using against you: lay you off using it, cut your benefits & compensation to make it more "efficient" & raise the exec pay because the stock price is going up!).

Back in 1980, the richest man in America had \$2bn to his name, made by massive infrastructure projects. [https://en.wikipedia.org/wiki/Daniel\\_K\\_Ludwig](https://en.wikipedia.org/wiki/Daniel_K_Ludwig)

Today, he wouldn't even make the top 100 list! Meanwhile, workers have lost buying power & think it's because of boomers! We made Elon Musk, the idiot on display on Twitter, the richest man in history by paying 10% of our every paycheck & he kept cashing it out; now he will use it to force you back to the office, to make your life & world miserable!

Warren Buffett, the guy who teaches "buy & hold" keeps dumping his bags every quarter & makes his "investment" money by preying on the poorest Americans living in trailers. <https://publicintegrity.org/inequality-poverty-opportunity/warren-buffetts-mobile-home-empire-preys-on-the-poor/>

Back in September 2021, every rich asshole sold a massive amount of their portfolio in complete coordination. From Bezos to Musk to Jerome Powell. They all had excuses but as of today, we know they sold the top.

Passive investments & Ponzi economy have become cancerous problems in our world. We just can't see them. It will end badly & not for the rich, but for us mortals.

4

 **Relevant-Rooster-991** • 1y ago •

People buy index funds and feel smart as if it was any different from buying shitcoins. If the price was 20 times higher they would still be buying because "IN tHe PaSt iT AlwAyS WeNt UP".

2

 **Testy\_McDangle** • 1y ago •

Yes. Over the past few decades pretty much all material geared toward retail investors is to simply put your money in an index fund to achieve market return. Look around Reddit at any investment page. People view you as some kind of degenerate gambler if you suggest not just throwing your money in an index fund.

This creates a massive problem because financial markets exist to allocate capital to efficient entities. It's not a damn savings account. You don't just put money in and get principal plus profit. You have to be discerning and decipher which companies are actually valuable. This takes a lot of work and is notoriously difficult to be successful at consistently. That's why success is rewarded with massive gains, the investor is performing a critical function in our economy.

This glut of index investing allocates capital to entities who are neither deserving or efficient. It's how you get bubbles, and it is antithetical to the purpose of financial markets.

5

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+ Create 2

3

1 more reply

gls2220 • 1y ago •

If this was true, wouldn't we see more of the magnificent 7 stocks getting killed? TSLA is down significantly, but that seems to be more event-related than a result of the overall market correction we've been experiencing. NVDA is down but arguably still at the lower end of its trading range. And then MSFT, META, AMZN, AAPL and GOOGL are all mostly holding their value. None of them are at their highs, but they aren't being crushed either.

2

joe4942 OP • 1y ago •

That's what happened during March 2020. Whether it will happen again to the same extent remains to be seen. However, the next major crash might not have a Fed that is quite as generous as it was in 2020 either.

2

gls2220 • 1y ago •

But to what extent was the March 2020 downturn the result of, or accelerated by, the trend towards passive investing? I don't know if this is even knowable. I do think there is something to what Burry is saying. There's obviously a reinforcing system working there. It's just not clear if it really is a problem or not.

2

1 more reply

1 more reply

senecadocet1123 • 1y ago •  
Top 1% Commenter

What do you think about this video? <https://youtu.be/Wv0pjh8mFk0?si=hNeO1W84vL-fe31f>

2

Relevant-Rooster-991 • 1y ago •

Either retarded or in bad faith. Probably the second, since talking good about index funds brings you the views.

Talking about the volumes traded just doesn't make any sense. I don't care if an HFT fund buys and sell 100 times the same shares holding them for 1 nanosecond. The price will be pumped up anyway by the millions of people that buy with market orders not even looking at the price as soon as they get their salary in the 401k.

2

asdfghqw8 • 1y ago •

So to summarise the articles shared on this thread, index funds keep pushing up the share price of stocks already in the Borus, irrespective of their performance, as a result good performing and fairly valued companies are automatically filtered out of the Boruses. And the valuation of the companies already listed in the Borus are pushed up by \$1 invested : \$5 value increase in the Borus.

But one thing that is not taken into appreciation is QE, once money is printed it goes into the market and keeps it afloat.

This may create a crash but that will create a value investing opportunity for investors.

2

rdjobsit • 1y ago •

No. He got lucky one time. It doesn't mean he will be right always. Too much of useless confidence.

2

JanetYellenNudes • 1y ago •

No

2

Human\_Ad\_7045 • 1y ago •

Passive investing is hardly a new concept. I don't see how it can cause a bubble.

2

Donedirtcheap7725 • 1y ago •

Passive investor do very little trading. Over 90% of the market activity is from active investors.

2

ficklecurmudgeon • 1y ago •

I don't think that passive investing is causing the bubble, but I think it supports its growth and prevents it from collapsing (at least in the current environment). As long as the "set it and forget it" money in the index funds don't spook with a dip and the die-hard indexers plow money in on minor dips, the bull market can keep going even with choppy waters. My fear is that a lot of that passive money is pretty dumb and if you get enough of a dip, a giant pullout of passive money will nuke the market in a way that we've never seen. Passive investing is the ballast of the market and if the ballast goes, the ship tips over. It's especially bad because those funds are broadly invested across the entire market, so you won't see a collapse limited to a sector or two if a real panic occurs.

2

no-blackwell-ized • 1y ago • Edited 1y ago •

No.

Burry seems to forget that *trading* - not AUM - sets prices, and index funds, while accounting for roughly 1/3 of assets, [comprise a whopping 5% of all trading](#).

Further, it doesn't actually take many active investors to create an efficient market, and indexing is likely simply pushing bad managers out of the market. ([https://papers.ssrn.com/sol3/papers.cfm?abstract\\_id=502605](https://papers.ssrn.com/sol3/papers.cfm?abstract_id=502605))

Other researchers [have gone so far as to conclude](#) that indexing makes short selling more efficient, thereby *improving* price discovery.

Just fearmongering clickbait BS.

And it's worth noting that it's not new. Here's a quote from the Director of Research at Chase from 1975:

*A proliferation of index funds, though accounting for ever-increasing amounts of investment monies, would lead to an inefficient market. A stock's price would become more a function of the monies flowing into index funds than a reflection of its investment merits. The efficient market hypothesis would be dead.*

[Here](#) are some other quotes from hedge fund managers over the years about indexing.

Carry on.

2

2 more replies

taisui • 1y ago •

Guy selling active fund management product telling you index fund is not good. Water is also wet. In fact I would argue using social media to broadcast "sell" after you acquired short positions because you are a celebrity fund manager is questionable....

2

I believe the index could run "flat" for a while and equal weight or value could do well. But just because it should happen or will need to happen doesn't mean it will happen soon.

2

sbfd

 • 1y ago •

Money printing and fiat is the cause. Index investment and group think is the outcome

7

campionesidd

 • 1y ago •

The alternative is what? Gold? An overinflated commodity with a price way higher than its utility.

6

2 more replies

1 more reply